UNIT X DIRECT AND INDIRECT TAXES

CHAPTER 33

INDIRECT TAXATION

E2XGX5

Learning Objectives

To enable the students to

i. understand the meaning of Indirect tax
ii. distinguish between direct taxes and indirect taxes
iii. describe the meaning, kinds and objectives of GST
iv. learn about the GST council and its functions

33.01 Meaning of Indirect Tax

Indirect Tax is levied on the goods and services. It is collected from the buyers by the sellers and paid by the sellers to the Government. Since it is indirectly imposed on the buyers it iscalled indirect tax. e.g. GST - Goods and Services Tax, Excise duty. The following picture clearly explains the direct tax and indirect tax concepts.

Differences between Direct Taxes and Indirect Taxes

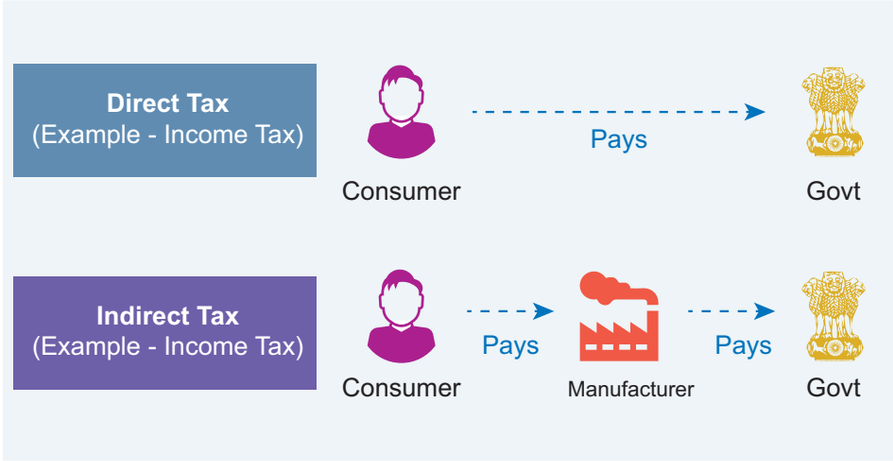
The main differences between direct taxes and indirect taxes are given in table.

33.02 Goods and Services Tax (GST) – Meaning

Goods and Services Tax (GST) is the tax imposed on the supply (consumption) of goods and services. It is a destination based consumption tax and collected on those value-added items at each stage of the supply chain.

A manufacturer in India, need not pay GST wherever he/she manufactures. GST is applicable to all goods and services except alcohol and specified petroleum products. GST Act has proposed four tax rates, i.e. 5%, 12%, 18% and 28%.

Traders having annual turnover, within a state, below Rs.20 lakhs are exempted from GST. These small traders need not



Commerce 26_33.indd 315 12/16/2020 4:13:13 PM